



“VCs are negotiating around valuations, doing more follow-on rounds and asking to prioritise profitability over growth, and at times asking to quickly pivot to models that are more profitable”

BHAVIK VASA
CO-FOUNDER,
GETVANTAGE

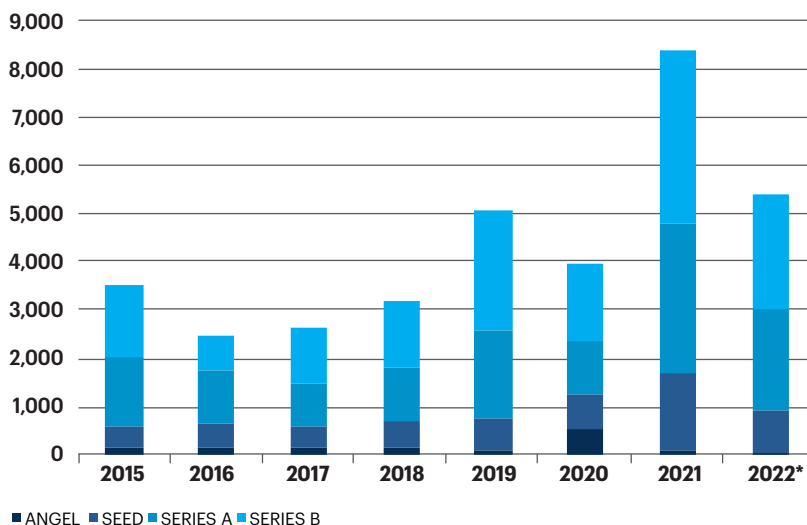


“Our focus on early-stage investments and rigorous filtering has borne well for our portfolio, as start-ups solving real-world problems and providing greater value for customers continue to scale and attract capital”

DHIANU DAS
CO-FOUNDER, AGILITY
VENTURES

EARLY-STAGE BOOSTERS

Early-stage start-ups are well on track to better last year's record...



*TILL JUNE 2022; CUMULATIVE FUNDING AMOUNT IN \$ MILLION; SOURCE TRACXN

for customers continue to scale and attract capital,” he elaborates. The angel fund has 35 companies in its portfolio, and plans to deploy around ₹450 crore by 2025 with a sizeable chunk marked for investments in the current year.

Echoing Das's views, Apoorva Ranjan Sharma, Co-founder of angel investing platform Venture Catalysts, says that he has not witnessed any slowdown in funding, and instead doubled his investments in start-ups by closing 207 deals, and investing in 178 of them in 2021. “The momentum is intact even in 2022. We expect to close the year at 300 deals. Funding winter is a cycle, and there are lull months. But that is not reflecting [on] the growth of the entire ecosystem. Some of the sectors might be under pressure, and that is normal,” is how Sharma explains the current turmoil.

Incidentally, government data shows that nearly 75,000 start-ups registered in the last six years in India, and they have become quite important from an economy perspec-

tive by creating more than 750,000 white-collar jobs.

But Manu Rikhye, Partner at early-stage fund growX Ventures, says that it is not just a numbers game for start-ups. Rather, they are more interested in testing ideas, and solving problems without losing focus of the unit economics. “The start-up ecosystem in India is climbing the learning curve, and there will be some separation of the wheat from the chaff. The hype around unicorns/soonicorn is slowly being replaced by an appreciation for problem-solving, perseverance and talent,” he says.

UNDER THE LENS

Even as bigger start-ups battle the chill of winter, early-stage start-ups may never know what winter feels like. But that has not stopped venture capitalists (VCs) from putting early-stage start-ups under a microscope, despite understanding the wider macro trends weighing on them, says Bhavik Vasa, Co-founder of revenue-based financing start-